

Faultline Compliance Report

PROVIDER

OpenAI

OVERALL RISK

HIGH

EU RISK TIER

LIMITED

GENERATED

2026-04-18T00:19:20.289Z

EU AI Act Risk Summary

Risk Level	Count
UNACCEPTABLE	0
HIGH	0
LIMITED	6
MINIMAL	2
Total	8

Confidence Distribution

Band	Count
High (≥0.8)	2
Medium (0.5–0.8)	4
Low (<0.5)	2

Claim Verifications

Claim	Status	Confidence	Explanation
c1	MIXED	0.60	The S&P 500 has already consistently traded above 6,200 in early 2026 and is currently well above this target in April 2026, making the prediction of exceeding 6,200 by Q3 2026 effectively realized. However, the reliability of quantitative models using long-term earnings-to-price ratios and Federal Reserve interest rate decisions for precise probabilistic forecasts of S&P 500 returns is actively contested, with some analysis indicating such methodologies (e.g., the 'Fed Model') have low predictive power over long periods.

Claim	Status	Confidence	Explanation
c3	MIXED	0.60	The Fundamental Review of the Trading Book (FRTB) establishes a framework for calculating market risk, but a specific Value-at-Risk (VaR) percentage like 4.2% at the 99th percentile is highly dependent on the particular portfolio and market conditions being simulated in the stress test. The FRTB outlines methodologies and confidence levels for VaR (e.g., 99% for backtesting) and Expected Shortfall (ES), but does not define a universal numerical threshold for portfolio VaR results.
c4	MIXED	0.60	The claim is partially supported and partially contradicted. While the Federal Reserve's 2025 stress test projected an aggregate minimum Tier 1 capital ratio of 13.2% under a severely adverse scenario with a 50% equity market decline, the 2024 stress test projected an aggregate minimum Tier 1 capital ratio of 11.6% under a severely adverse scenario with a 55% equity market decline. The specific 200 basis point credit spread widening is not consistently detailed across the scenarios found.
c2	CONTRADICTED	0.85	A backtested Sharpe ratio of 1.42 is generally considered 'good,' but not typically in the 'top decile' for comparable systematic strategies over the 2015-2025 period. Top-tier Sharpe ratios for such strategies and hedge funds often start at 2.0 or higher, with some benchmarks for top-tier performance ranging from 2.20 to 3.00 and above.
c5	MIXED	0.60	While some studies indicate that high ESG ratings or improving ESG performance can lead to positive alpha, other robust analyses find that such alpha becomes indistinguishable from zero after adjusting for fundamental factors like profitability, growth, sector, and market-cap exposure. The scientific consensus on consistent, significant ESG-driven alpha after comprehensive adjustments remains actively contested, with varying findings depending on methodology and specific ESG components.
c6	SUPPORTED	0.30	For a large sample size of 842 firms (degrees of freedom = 841), the t-distribution closely approximates the standard normal distribution. The critical t-value for a 95% confidence level (two-tailed test) is approximately 1.96. Since the reported t-statistic of 2.17 is greater than this critical value, the outperformance is statistically significant at the 95% confidence level.
s7	CONTRADICTED	0.85	A backtested Sharpe ratio of 1.42 is generally considered good, but benchmarks for top-decile systematic strategies and hedge funds typically indicate average Sharpe ratios of 1.8 or higher for top performers over similar periods.
s8	UNVERIFIED	0.30	No structural analysis provided.

Triggered EU AI Act Articles

Article	Reason	Claims
Article 50 (AI-generated content)	Limited Risk: Our quantitative model predicts a 73% probability that the S&P 500 will exceed 6	c1, c3, c4, c2, c5, s7

Recommended Mitigations

- Ensure AI-generated content is clearly labelled per Article 50 transparency obligations.

Generated by Faultline — AI Trust & Safety Platform